

Jentech Precision Industrial (3653 TT)

 Target price: **TWD9,420.00** (from TWD6,770.00)

 Share price (18 Sep): **TWD5,525.00** | Up/downside: **+70.5%**

5 4 3 2 1


Buy
 (unchanged)

3Q26 preview: stronger-than-expected spec upgrades

- We maintain our positive view on Jentech's product roadmap
- Likely EPS upward revision trend in the following months
- Reaffirming our Buy (1) call; raising 12-month TP to TWD9,420

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What's new: We received an update from Jentech on 18 September. Its share price has been negatively impacted week to date by market talk concerning the adoption of removable lids in Vera Rubin and Rubin Ultra. However, we maintain our positive view on its ongoing product-upgrade roadmap and expect the ASP-upgrade trend to continue in the following years. We reaffirm our Buy (1) call (see our latest memo, [Record-high monthly revenue for August; 3Q26 QTD revenue tracking ahead](#), on 7 September 2026).

What's the impact: Promising ASP upgrade trend. Due to rising thermal design power (TDP), we expect the ASP of Jentech's removable lid for Vera Rubin or Rubin Ultra to be 5-6x higher vs. that of the current one-piece lid. Following better-than-expected shipments during the ramp-up of Vera Rubin, we now forecast its 3Q26 revenue at TWD9.65bn (previously TWD9.26bn vs. Bloomberg consensus of TWD9.62bn) and 4Q26 revenue at TWD10.62bn (previously TWD10.20bn, vs. Bloomberg consensus of TWD10.32bn). We believe there could be some revenue upside potential, subject to the adoption of removable lids for Vera Rubin or Rubin Ultra. We now forecast an EPS CAGR of 86.1% over 2026-28E, from 78.8% previously, as we believe further product upgrades and a favourable product mix should continue to support improving profitability.

Bright outlook for GPU projects as well as ASIC projects. We believe Jentech has a more promising product roadmap for ASIC clients, with potential ASP upgrades from the current stiffener. After GPU clients adopt removable lids, it also could encourage its ASIC clients to adopt removable lids, translating to 15-20x ASP increase from here. We raise our 2026-28E EPS by 6-15%, mainly as a result of our more aggressive revenue and gross-/operating-margin assumptions.

What we recommend: We reiterate our Buy (1) call and raise our 12M TP to TWD9,420 (from TWD6,770), still based on a target PER of 73x (vs. its past-3-year PER range of 17-62x) applied to our 1-year forward EPS forecast, which is rolled over to 4Q26E-3Q27E (from 3Q26E-2Q27E). We believe our target valuation is fair, given Jentech's strong earnings visibility and leading position in chip-level thermal solutions, which we believe warrant a rerating in addition to its strong moat and competitive landscape in the segment. Downside risks: weaker-than-expected global AI server demand and slower-than-expected thermal spec upgrades.

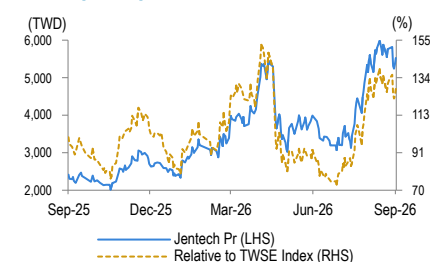
How we differ: Our 2026-28E EPS are 1-10% above Bloomberg consensus, likely as we are more aggressive in our revenue and gross-/operating-margin assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	2.5	7.0	7.8
Net profit change	5.8	14.0	14.6
Core EPS (FD) change	5.9	14.0	14.6

Source: Daiwa forecasts

Share price performance



12-month range	2,020.00-5,990.00
Market cap (USDbn)	25.43
3m avg daily turnover (USDm)	193.79
Shares outstanding (m)	147
Major shareholder	Chao family (40.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	32,852	60,276	86,449
Operating profit (m)	12,221	28,511	43,138
Net profit (m)	10,023	22,972	34,696
Core EPS (fully-diluted)	68.236	156.399	236.217
EPS change (%)	88.8	129.2	51.0
Daiwa vs Cons. EPS (%)	1.3	9.8	1.2
PER (x)	81.0	35.3	23.4
Dividend yield (%)	0.7	1.7	2.6
DPS	41.0	93.9	141.9
PBR (x)	26.6	17.1	11.9
EV/EBITDA (x)	61.1	27.1	17.8
ROE (%)	37.6	59.0	59.9

Source: FactSet, Daiwa forecasts

Jentech: revenue and earnings forecasts revisions

(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	32,852	32,045	2.5%	60,276	56,314	7.0%	86,449	80,180	7.8%
Gross profit	15,933	15,157	5.1%	31,946	28,157	13.5%	47,547	41,694	14.0%
Gross margin	48.5%	47.3%	1.2pp	53.0%	50.0%	3pp	55.0%	52.0%	3pp
Operating profit	12,221	11,536	5.9%	28,511	25,003	14.0%	43,138	37,685	14.5%
Operating margin	37.2%	36.0%	1.2pp	47.3%	44.4%	2.9pp	49.9%	47.0%	2.9pp
Net profit	10,023	9,473	5.8%	22,972	20,153	14.0%	34,696	30,280	14.6%
Net margin	30.5%	29.6%	0.9pp	38.1%	35.8%	2.3pp	40.1%	37.8%	2.4pp
Fully Diluted EPS (TWD)	68.24	64.46	5.9%	156.40	137.15	14.0%	236.22	206.07	14.6%

Source: Daiwa forecasts

Jentech: quarterly and annual P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	5,305	7,275	9,650	10,623	11,109	13,361	16,161	19,646	32,852	60,276	86,449
Gross profit	2,217	3,405	4,873	5,439	5,721	6,948	8,646	10,632	15,933	31,946	47,547
Operating profit	1,697	2,749	3,127	4,649	4,943	6,119	7,822	9,626	12,221	28,511	43,138
Pre-tax profit	1,776	2,841	3,214	4,686	4,973	6,149	7,852	9,656	12,516	28,631	43,238
Net profit	1,398	2,318	2,593	3,713	3,987	4,932	6,301	7,751	10,023	22,972	34,696
Basic EPS (TWD)	9.53	15.80	17.67	25.31	27.17	33.62	42.94	52.82	68.24	156.40	236.22
Margin											
Gross margin	41.8%	46.8%	50.5%	51.2%	51.5%	52.0%	53.5%	54.1%	48.5%	53.0%	55.0%
Operating margin	32.0%	37.8%	32.4%	43.8%	44.5%	45.8%	48.4%	49.0%	37.2%	47.3%	49.9%
Pre-tax margin	33.5%	39.1%	33.3%	44.1%	44.8%	46.0%	48.6%	49.2%	38.1%	47.5%	50.0%
Net margin	26.4%	31.9%	26.9%	35.0%	35.9%	36.9%	39.0%	39.5%	30.5%	38.1%	40.1%
YoY											
Revenue	11.6%	40.4%	90.4%	101.5%	109.4%	83.7%	67.5%	84.9%	62.0%	83.5%	43.4%
Gross profit	3.8%	58.4%	146.7%	150.1%	158.1%	104.0%	77.4%	95.5%	88.9%	100.5%	48.8%
Operating profit	1.8%	61.8%	110.6%	182.0%	191.4%	122.6%	150.2%	107.1%	88.1%	133.3%	51.3%
Pre-tax profit	2.0%	114.1%	86.6%	157.9%	180.1%	116.5%	144.3%	106.1%	89.4%	128.8%	51.0%
Net profit	2.0%	106.8%	91.2%	159.9%	185.2%	112.7%	143.0%	108.7%	89.9%	129.2%	51.0%
QoQ											
Revenue	0.6%	37.1%	32.7%	10.1%	4.6%	20.3%	21.0%	21.6%			
Gross profit	1.9%	53.6%	43.1%	11.6%	5.2%	21.4%	24.4%	23.0%			
Operating profit	2.9%	62.0%	13.7%	48.7%	6.3%	23.8%	27.8%	23.1%			
Pre-tax profit	-2.3%	60.0%	13.1%	45.8%	6.1%	23.6%	27.7%	23.0%			
Net profit	-2.2%	65.8%	11.8%	43.2%	7.4%	23.7%	27.7%	23.0%			

Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal heat spreader revenue growth (%)	10.4	73.8	21.2	25.7	58.2	69.6	100.0	49.4
Lead frame revenue growth (%)	51.0	2.3	(13.1)	(5.8)	(4.1)	48.9	30.2	0.0
Electronic Components revenue growth (%)	41.4	4.7	(43.5)	3.5	15.9	17.9	23.2	21.6

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal heat spreader	3,533	6,139	7,444	9,358	14,804	25,106	50,219	75,004
Lead frame	2,326	2,380	2,068	1,948	1,868	2,780	3,620	3,620
Other Revenue	2,942	3,513	2,551	2,972	3,604	4,965	6,438	7,825
Total Revenue	8,801	12,032	12,063	14,278	20,276	32,852	60,276	86,449
Other income	0	0	0	0	0	0	0	0
COGS	(6,043)	(7,706)	(8,020)	(8,913)	(11,842)	(16,919)	(28,330)	(38,902)
SG&A	(658)	(838)	(838)	(969)	(1,196)	(2,727)	(2,230)	(2,680)
Other op.expenses	(390)	(454)	(527)	(598)	(740)	(986)	(1,206)	(1,729)
Operating profit	1,710	3,034	2,677	3,799	6,498	12,221	28,511	43,138
Net-interest inc./(exp.)	(25)	(16)	83	83	54	135	70	50
Assoc/forex/extraord./others	(93)	351	25	364	54	160	50	50
Pre-tax profit	1,592	3,369	2,786	4,245	6,607	12,516	28,631	43,238
Tax	(354)	(712)	(534)	(830)	(1,297)	(2,456)	(5,619)	(8,485)
Min. int./pref. div./others	(42)	(42)	46	13	(33)	(37)	(40)	(57)
Net profit (reported)	1,196	2,614	2,298	3,428	5,277	10,023	22,972	34,696
Net profit (adjusted)	1,196	2,614	2,298	3,428	5,277	10,023	22,972	34,696
EPS (reported)(TWD)	9.884	19.536	16.594	24.149	36.753	68.309	156.556	236.454
EPS (adjusted)(TWD)	9.884	19.536	16.594	24.149	36.753	68.309	156.556	236.454
EPS (adjusted fully-diluted)(TWD)	9.407	18.643	16.280	24.074	36.140	68.236	156.399	236.217
DPS (TWD)	6.000	11.660	9.850	14.500	22.000	40.986	93.933	141.872
EBIT	1,710	3,034	2,677	3,799	6,498	12,221	28,511	43,138
EBITDA	2,047	3,855	3,238	4,759	7,201	13,084	29,287	43,998

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,592	3,369	2,786	4,245	6,607	12,516	28,631	43,238
Depreciation and amortisation	430	469	536	597	648	703	726	810
Tax paid	(230)	(313)	(848)	(563)	(887)	(2,456)	(5,619)	(8,485)
Change in working capital	(952)	(840)	662	(1,211)	(1,348)	(4,490)	(9,077)	(9,086)
Other operational CF items	65	110	(78)	(177)	(246)	(135)	(70)	(50)
Cash flow from operations	905	2,795	3,057	2,891	4,774	6,137	14,591	26,427
Capex	(684)	(805)	(453)	(613)	(1,173)	(1,200)	(1,200)	(1,500)
Net (acquisitions)/disposals	(653)	(21)	270	179	146	131	131	131
Other investing CF items	(15)	(279)	(103)	(2,129)	13	0	0	0
Cash flow from investing	(1,352)	(1,105)	(287)	(2,563)	(1,014)	(1,069)	(1,069)	(1,369)
Change in debt	770	(246)	(222)	(744)	5,197	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(733)	(785)	(1,662)	(1,436)	(2,072)	(3,187)	(6,014)	(13,783)
Other financing CF items	(14)	(19)	(33)	(35)	(48)	0	0	0
Cash flow from financing	22	(1,050)	(1,917)	(2,215)	3,077	(3,187)	(6,014)	(13,783)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	(425)	640	853	(1,887)	6,837	1,881	7,508	11,275
Free cash flow	221	1,897	2,597	2,371	3,791	4,937	13,391	24,927

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	2,648	3,317	4,156	2,267	9,134	11,015	18,523	29,798
Inventory	3,359	3,596	2,481	3,062	3,810	5,673	9,144	12,668
Accounts receivable	2,373	2,730	2,713	4,115	5,538	9,058	16,356	23,646
Other current assets	70	43	62	51	85	85	85	85
Total current assets	8,450	9,686	9,411	9,495	18,567	25,830	44,108	66,197
Fixed assets	4,436	4,675	4,833	4,852	8,073	8,570	9,044	9,733
Goodwill & intangibles	12	10	13	12	14	14	14	14
Other non-current assets	623	1,407	1,588	4,104	1,315	1,315	1,315	1,315
Total assets	13,521	15,777	15,846	18,462	27,969	35,729	54,481	77,260
Short-term debt	773	1,743	397	0	0	0	0	0
Accounts payable	1,882	2,176	2,052	2,790	3,521	4,469	6,217	8,001
Other current liabilities	224	619	335	630	932	99	99	99
Total current liabilities	2,878	4,537	2,785	3,420	4,453	4,568	6,316	8,100
Long-term debt	437	432	348	5	5	5	5	5
Other non-current liabilities	2,194	350	375	379	445	445	445	445
Total liabilities	5,509	5,319	3,507	3,804	4,904	5,018	6,766	8,550
Share capital	1,223	1,368	1,408	1,429	1,467	1,467	1,467	1,467
Reserves/R.E./others	5,854	8,152	10,070	13,037	21,370	28,980	45,943	66,881
Shareholders' equity	7,078	9,520	11,478	14,466	22,837	30,447	47,411	68,348
Minority interests	934	938	860	192	227	264	304	361
Total equity & liabilities	13,521	15,777	15,846	18,462	27,969	35,729	54,481	77,260
EV	810,196	810,495	808,150	808,629	801,799	799,954	792,486	781,268
Net debt/(cash)	(1,438)	(1,143)	(3,411)	(2,262)	(9,129)	(11,010)	(18,518)	(29,793)
BVPS (TWD)	58.480	71.142	82.877	101.919	159.052	207.500	323.107	465.801

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	28.6	36.7	0.3	18.4	42.0	62.0	83.5	43.4
EBITDA (YoY)	30.6	88.3	(16.0)	47.0	51.3	81.7	123.8	50.2
Operating profit (YoY)	52.8	77.4	(11.8)	41.9	71.1	88.1	133.3	51.3
Net profit (YoY)	19.6	118.6	(12.1)	49.2	54.0	89.9	129.2	51.0
Core EPS (fully-diluted) (YoY)	14.3	98.2	(12.7)	47.9	50.1	88.8	129.2	51.0
Gross-profit margin	31.3	36.0	33.5	37.6	41.6	48.5	53.0	55.0
EBITDA margin	23.3	32.0	26.8	33.3	35.5	39.8	48.6	50.9
Operating-profit margin	19.4	25.2	22.2	26.6	32.0	37.2	47.3	49.9
Net profit margin	13.6	21.7	19.1	24.0	26.0	30.5	38.1	40.1
ROAE	17.7	31.5	21.9	26.4	28.3	37.6	59.0	59.9
ROAA	9.6	17.8	14.5	20.0	22.7	31.5	50.9	52.7
ROCE	20.1	27.8	20.8	27.4	34.4	45.4	72.7	74.1
ROIC	23.6	30.1	23.7	28.7	39.7	58.4	93.7	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	22.2	21.1	19.2	19.6	19.6	19.6	19.6	19.6
Accounts receivable (days)	87.2	77.4	82.4	87.3	86.9	81.1	76.9	84.4
Current ratio (x)	2.9	2.1	3.4	2.8	4.2	5.7	7.0	8.2
Net interest cover (x)	67.9	183.9	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	60.7	59.7	59.4	60.0	59.9	60.0	60.0	60.0
Free cash flow yield	0.0	0.2	0.3	0.3	0.5	0.6	1.7	3.1

Source: FactSet, Daiwa forecasts

Company profile

Established in 1987, Jentech Precision Industrial is a leading global thermal-solutions and precision-metal components maker that serves leading semiconductor and server vendors. As of 2025, its revenue comprised thermal heat spreaders (73%), lead frames (9%), electronic components (7%), communication connectors (1%) and others (10%).

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	The CEO and chairperson of Jentech is the same individual, Mr. Zhao Zongxin. We note that Mr. Zhao has extensive long-term experience in senior management within the company and across its subsidiaries, which is a positive sign from an executive perspective.
	Capital management	1	Between 2021-25, Jentech has maintained a dividend payout ratio of around 60%, which we consider reasonable for balancing shareholder returns with reinvestment needs. This consistent approach reflects prudent capital management discipline and a stable financial policy.
	Related party & transaction	1	The company engages in transactions with subsidiaries primarily for normal operational purposes, such as purchase of materials and components. The proportion of these costs to overall COGS remains low, and no irregular or non-transparent transactions were identified.
E	Supply chain management	1	Jentech has a structured procurement process, including supplier evaluation, signature of procurement contracts, and requirements for compliance with environmental and safety regulations. The company also diversifies sourcing channels (major suppliers from Taiwan, Japan, Europe, Korea, USA) and maintains stable supply relationships, with clear communication protocols for prompt response to supplier issues. This reflects strong supply chain transparency and robust quality control measures.
E	Data security	1	The company has established an information security team, conducts annual internal control audits, and implements procedures such as asset inventory, network security monitoring, virus prevention systems, firewall management, and access rights control. Backup systems and disaster recovery mechanisms are in place, allowing the company to restore information system operations and minimize damage during major incidents or equipment failures.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 29 May 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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